

HCS HB 2759 -- CONTRACTS FOR WORK ON THE STATE HIGHWAY SYSTEM

SPONSOR: Pouche

COMMITTEE ACTION: Voted "Do Pass with HCS" by the Standing Committee on Transportation by a vote of 13 to 0 with 1 member voting present. Voted "Do Pass" by the Standing Committee on Rules-Administrative by a vote of 10 to 0.

The following is a summary of the House Committee Substitute for HB 2759.

This bill specifies that the Highways and Transportation Commission must publish on the Department of Transportation's official website its cost estimate and project completion date for any construction, maintenance, or repair work on the State highway system at the time a contract for the work is awarded.

Upon action by the Commission on bids for transportation improvements in a letting, the Department must publish on the Department's website within one business day the engineer's cost estimate and projected completion date for every project in that letting, whether awarded or rejected.

This bill is similar to HB 239 (2025).

The following is a summary of the public testimony from the committee hearing. The testimony was based on the introduced version of the bill.

PROPONENTS: Supporters say that this provides transparency. It answers questions about where tax dollars are going and gives contractors necessary information. Thirty-two other states have these provisions, and we haven't seen them roll the provisions back, which would be expected if these types of rules led to hikes in project cost. This is just a fair way to do things. Contractors will bid against each other, still, which ensures taxpayers are getting good value out of their spending. When bids are rejected, contractors are often left with questions and no answers. This bill lets them compare their own engineer's assumptions with those made by MoDOT.

Testifying in person for the bill were Representative Pouche; Associated General Contractors Of Mo; Arnie C. Dienoff; and Missouri Asphalt Pavement Association.

OPPONENTS: Those who oppose the bill say that a range is already provided. The industry bids to offer the best price against each other now. MoDOT estimates are based on the fair market value of the materials and work involved. They get quotes, watch trends, use historical data, measure costs, etc to make their estimates. They think competition results in the best value. MoDOT is worried about setting an artificially high floor for projects. Providing this data over time could increase prices. The Federal Highway Administration recommends our current process. Rejected bids are given a reason for the rejection.

Testifying in person against the bill was Eric Schroeter, Missouri Department Of Transportation.

Written testimony has been submitted for this bill. The full written testimony and witnesses testifying online can be found under Testimony on the bill page on the House website.